

Tesla, Inc.
TSLA NASDAQ

Hold	\$362.86 ▲ 5.14%	12M Price Target \$400.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.43T
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TSLA: Robotaxi Momentum Meets EV Credit Cliff

WHAT HAPPENED

- TSLA ripped +5.1% on massive volume (59M shares, ~2x the recent average) — the headline catalyst is the Nevada robotaxi expansion. This matters because the market has essentially decided TSLA is an AI/autonomy story now, not a car company — every incremental city they add gets priced like a mini-IPO of a ride-share business.
- Options flow is screaming bullish — call buyers piled into \$350-360 strikes at 5-8x normal open interest (meaning traders bought way more upside bets than usual). That \$37M notional call bet at the \$350 strike tells you institutions were positioning for exactly this move.

WHY IT MATTERS

Here's the real story: TSLA is trading like autonomy is inevitable, but the auto business underneath is quietly getting squeezed. The federal \$7,500 EV tax credit expired last September under the Trump administration's rollback, and Q3/Q4 delivery numbers are going to reflect that headwind — so the robotaxi narrative HAS to keep delivering to justify the multiple. The Nevada expansion is a signal Tesla is picking permissive-regulation states first (Texas, Nevada, Arizona) to build a track record before tackling California and the Northeast. Watch this closely: if Musk's public feud with Trump escalates further, there's real risk of retaliatory regulatory scrutiny on FSD (Full Self-Driving) — the NHTSA investigations are already open and could be weaponized.

POLICY & POLITICAL WATCH

The biggest policy overhang is the expired federal EV tax credit — that \$7,500 consumer subsidy is gone, and it hits Tesla's US demand directly (analysts estimate 5-8% volume drag). On the positive side, the administration's federal AV (autonomous vehicle) framework is expected to preempt state-by-state patchwork rules, which would be a massive tailwind for Tesla's robotaxi rollout — Musk has been lobbying hard for this. Also watch China tariffs: Tesla's Shanghai gigafactory exports to Europe, and any escalation in the US-China trade fight complicates their global supply chain, particularly for battery materials.

IS IT EXPENSIVE?

At \$363, TSLA trades at roughly 169x forward earnings — meaning you're paying \$169 for every \$1 the company is expected to earn next year. For context, Toyota trades at ~10x and even Nvidia is around 35x. That premium only makes sense if you believe robotaxi and Optimus (their humanoid robot) become real revenue lines within 3 years — otherwise this is one of the most expensive large-caps in the market.

WHAT COULD GO WRONG

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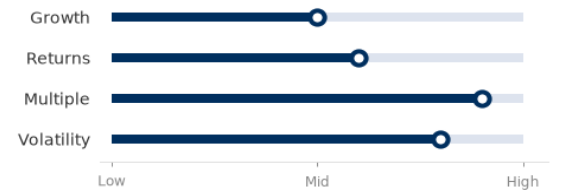
AI-Generated Pre-Market Brief | 2026-08-24 13:27 UTC

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Key Data

Price (USD)	\$362.86
12M Price Target	\$400.00
Upside / (Downside)	+10.2%
Market Cap	\$1.43T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	168.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$395.00	\$370.00	\$335.00
6 Months	\$450.00	\$385.00	\$310.00
1 Year	\$500.00	\$400.00	\$280.00
2 Years	\$600.00	\$425.00	\$250.00
5 Years	\$900.00	\$550.00	\$220.00
10 Years	\$1400.00	\$700.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.1%) and Healthcare (+1.3%) — Materials is riding infrastructure spending and rare earth reshoring policy, Healthcare is bouncing on the Medicare drug pricing framework being softer than feared.

COOLING OFF: Consumer Discretionary is flat over 5 days despite today's pop — retail spending is showing cracks and tariff pass-through to consumer prices is starting to bite.

ROTATION WATCH: Money is rotating INTO autonomy/AI-adjacent names within Cons Disc rather than traditional retail — TSLA is the biggest beneficiary of that intra-sector rotation.

RELATED PLAY: If you believe the robotaxi story, the picks-and-shovels play is NVIDIA (compute for FSD training) and lidar/sensor names — though ironically Tesla famously doesn't use lidar, so stick with the AI compute angle.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the default AI winner — every autonomy story ultimately routes through their chips.
- GOOGL (Alphabet/Waymo): The other serious robotaxi player, already operating at scale in more cities than Tesla.

TSLA CONTEXT: TSLA is leading the auto peer group by a mile today (XPeng dropped on earnings, legacy autos are flat), but lagging pure-play AI names on a YTD basis. That tells me the market is giving Tesla partial credit for autonomy but not full credit yet — which is either the opportunity or the warning, depending on whether robotaxi actually scales.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive; the autonomy optionality is real but the valuation leaves zero room for error.

POSITION SIZE: 2-4% of portfolio — high enough to matter if the robotaxi thesis plays out, small enough that a 30% drawdown doesn't wreck you.

ENTRY POINTS: I'd wait for pullbacks to \$320-340 — the stock is only 33% through its 52-week range, so chasing at \$363 after a 5% pop feels late.

TIME HORIZON: 12-24 months — you need at least that long for robotaxi to show real revenue in the 10-Q filings.

WHEN TO BAIL: If auto gross margins drop below 15%, if a major FSD incident triggers federal action, or if robotaxi expansion stalls for 2+ quarters.

HEDGING: Buy 6-month put options 10-15% below current price — think of it as insurance that pays off if the AI narrative cracks. Or simply keep position size small and hold cash on the side to average down.